United Nations

Our Common Future
Chapter 12: Towards Common Action: Proposals For institutional and Legal Change

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1. In the middle or the 20th century, we saw our planet from space for the first time. Historians may eventually find that this vision had a greater impact on thought than did the Copernican revolution of the 16th century, which upset humans' self-image by revealing that the Earth is not the centre of the universe. From space, we see a small and fragile ball dominated not by human activity and edifice but by a pattern of clouds, oceans, greenery, and soils. Humanity's inability to fit its activities into that pattern is changing planetary systems fundamentally. Many such changes are accompanied by life-threatening hazards, from environmental degradation to nuclear destruction. These new realities, from which there is no escape, must be recognized - and managed.

2. The issues we have raised in this report are inevitably of far reaching importance to the quality of life on earth - indeed to life itself. We have tried to show how human survival and well-being could depend on success in elevating sustainable development to a global ethic. In doing so, we have called for such major efforts as greater willingness and cooperation to combat international poverty, to maintain peace and enhance security world-wide, and to manage the global commons. We have called for national and international action in respect of population, food, plant and animal species, energy, industry, and urban settlements. The previous chapters have described the policy directions required.

3. The onus for action lies with no one group of nations. Developing countries face the challenges of desertification, deforestation, and pollution, and endure most of the poverty associated with environmental degradation. The entire human family of nations would suffer from the disappearance of rain forests in the tropics, the loss of plant and animal species, and changes in rainfall patterns. Industrial nations face the challenges of toxic chemicals, toxic wastes, and acidification. All nations may suffer from the releases by industrialized countries of carbon dioxide and of gases that react with the ozone layer, and from any future war fought with the nuclear arsenals controlled by those nations. All nations will also have a role to play in securing peace, in changing trends, and in righting an international economic system that increases rather than decreases inequality, that increases rather than decreases numbers of poor and hungry.

> In the case of environmental problems, it is obvious that the problems cannot be solved by one group, one group working in separation. You cannot say because people are dying of poisoning, it is the Ministry of Health that will solve it. Or to say because it comes from factories, it is the Ministry of Industry. That is impossible.
>
> I think the problems need a more holistic approach. The United Nations Organization, as a professional organization, has developed this fragmentation. It started automatically with no bad intention at all. But at the same time, the member countries requested and national bodies also requested entry points in recipient countries. So WHO corresponds with the Ministry of Health, UNESCO corresponds with the Ministry of Education, FAO corresponds with the Ministry of Agriculture the fragmentation is getting worse.
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> Speaker from the floor
> Government Agency
> WCED Public Hearing
> Jakarta, 26 March 1985

4. The time has come to break out of past patterns. Attempts to maintain social and ecological stability through old approaches to development and environmental protection will increase instability. Security must be sought through change. The Commission has noted a number of actions that must be taken to reduce risks to survival and to put future development on paths that are sustainable.

5. Without such reorientation of attitudes and emphasis, little can be achieved. We have no illusions about 'quick-fix' solutions. We have tried to point out some pathways to the future. But there is no substitute for the journey itself, and there is no alternative to the process by which we retain a capacity to respond to the experience it provides. We believe this to hold true in all the areas covered in this report. But the policy changes we have suggested have institutional implications, and it is to these we now turn emphasizing that they are a complement to, not a substitute for, the wider policy changes for which we call. Nor do they represent definitive solutions, but rather first steps in what will be a continuing process.

6. In what follows we put forward, in the first place, what are essentially conceptual guidelines for institutions at the national level. We recognize that there are large differences among countries in respect of population size, resources, income level, management capacity, and institutional traditions, only governments themselves can

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formulate the changes they should make. Moreover, the tools for monitoring and evaluating sustainable development are rudimentary and require further refinement.

7. We also address, in more specific terms, the question of international institutions. The preceding chapters have major implications for international cooperation and reforms, both economic and legal. The international agencies clearly have an important role in making these changes effective, and we endeavour to set out the institutional implications, especially as regards the United Nations system.

I. The Challenge for Institutional and Legal Change

1. Shifting the Focus to the Policy Sources

8. The next few decades are crucial for the future of humanity. Pressures on the planet are now unprecedented and are accelerating at rates and scales new to human experience: a doubling of global population in a few decades, with most of the growth in cities; a five- to tenfold increase in economic activity in less than half a century; and the resulting pressures for growth and changes in agricultural, energy, and industrial systems. Opportunities for more sustainable forms of growth and development are also growing. New technologies and potentially unlimited access to information offer great promise.

9. Each area of change represents a formidable challenge in its own right, but the fundamental challenge stems from their systemic character. They lock together environment and development, once thought separate; they lock together 'sectors' such as industry and agriculture; and they lock countries together as the effects of national policies and actions spill over national borders. Separate policies and institutions can no longer cope effectively with these interlocked issues. Nor can nations, acting unilaterally.

10. The integrated and interdependent nature of the new challenges and issues contrasts sharply with the nature of the institutions that exist today. These institutions tend to be independent, fragmented, and working to relatively narrow mandates with closed decision processes. Those responsible for managing natural resources and protecting the environment are institutionally separated from those responsible for managing the economy. The real world of interlocked economic and ecological systems will not change; the policies and institutions concerned must.

11. This new awareness requires major shifts in the way governments and individuals approach issues of environment, development, and international cooperation. Approaches to environment policy can be broadly characterized in two ways. One, characterized as the 'standard agenda', reflects an approach to environmental policy, laws, and institutions that focuses on environmental effects. The second reflects an approach concentrating on the policies that are the sources of those effects./1 These two approaches represent distinctively different ways of looking both at the issues and at the institutions to manage them.

12. The effects-oriented 'standard agenda' has tended to predominate as a result of growing concerns about the dramatic decline in environmental quality that the industrialized world suffered during the 1950s and 1960s. New environmental protection and resource management agencies were added on to the existing institutional structures, and given mainly scientific staffs./2

13. These environment agencies have registered some notable successes in improving environmental quality during the past two decades./3 They have secured significant gains in monitoring and research and in defining and understanding the issues in scientific and technical terms. They have raised public awareness, nationally and internationally. Environmental laws have induced innovation and the development of new control technologies, processes, and products in most industries, reducing the resource content of growth./4

14. However, most of these agencies have been confined by their own mandates to focusing almost exclusively on the effects. Today, the sources of these effects must be tackled. While these existing environmental protection policies and agencies must be maintained and even strengthened, governments now need to take a much broader view of environmental problems and policies.

15. Central agencies and major sectoral ministries play key roles in national decision making. These agencies have the greatest influence on the form, character, and distribution of the impacts of economic activity on the environmental resource base. It is these agencies, through their policies and budgets, that determine whether

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the environmental resource base is enhanced or degraded and whether the planet will be able to support human and economic growth and change into the next century.

16. The mandated goals of these agencies include increasing investment, employment, food, energy, and other economic and social goods. Most have no mandate to concern themselves with sustaining the environmental resource capital on which these goals depend. Those with such mandates are usually grouped in separate environment agencies or, sometimes, in minor units within sectoral agencies. In either case, they usually learn of new initiatives in economic and trade policy, or in energy and agricultural policy, or of new tax measures that will have a severe impact on resources, long after the effective decisions have been taken. Even if they were to learn earlier, most lack the authority to ensure that a given policy is implemented.

17. Environmental protection and sustainable development must be an integral part of the mandates of all agencies of governments, of international organizations, and of major private-sector institutions. These must be made responsible and accountable for ensuring that their policies, programmes, and budgets encourage and support activities that are economically and ecologically sustainable both in the short and longer terms.They must be given a mandate to pursue their traditional goals in such a way that those goals are reinforced by a steady enhancement of the environmental resource base of their own national community and of the small planet we all share.

2. New Imperatives for International Cooperation

18. National boundaries have become so porous that traditional distinctions between local, national, and international issues have become blurred. Policies formerly considered to be exclusively matters of 'national concern' now have an impact on the ecological bases of other nations' development and survival. Conversely, the growing reach of some nations' policies - economic, trade, monetary, and most sectoral policies - into the 'sovereign' territory of other nations limits the affected nations' options in devising national solutions to their 'own' problems. This fast-changing context for national action has introduced new imperatives and new opportunities for international cooperation.

19. The international legal framework must also be significantly strengthened in support of sustainable development. Although international law related to environment has evolved rapidly since the 1972 Stockholm Conference, major gaps and deficiencies must still be overcome as part of the transition to sustainable development. Much of the evidence and conclusions presented in earlier chapters of this report calls into question not just the desirability but even the feasibility of maintaining an international system that cannot prevent one or several states from damaging the ecological basis for development and even the prospects for survival of any other or even all other states.

20. However, just at the time when nations need increased international cooperation, the will to cooperate has sharply declined. By the mid-1980s, multilateral institutions were under siege for many, and often contradictory, reasons. The UN system has come under increasing attack for either proposing to do too much or, more frequently, for apparently doing too little. Conflicting national interests have blocked significant institutional reforms and have increased the need for fundamental change./5 By the mid-1980s, funds for many international organizations had levelled off or declined in both relative and absolute terms.

21. Bilateral development assistance has declined as a percentage of GNP in many industrial countries, falling even further below the targets proposed in the early 1970s./6 The benefits and effectiveness of aid have come under serious question, in part because of criticism based on environmental considerations./7 Yet, sustainable development creates the need for even greater international aid and cooperation.

22. Nations must now confront a growing number, frequency, and scale of crises. A major reorientation is needed in many policies and institutional arrangements at the international as well as national level. The time has come to break away. Dismal scenarios of mounting destruction of national and global potential for development - indeed, of the Earth's capacity to support life - are not inescapable destiny. One of the most hopeful characteristics of the changes the world is racing through is that invariably they reflect great opportunities for sustainable development, providing that institutional arrangements permit sustainable policy options to be elaborated, considered, and implemented.

II. Proposals for Institutional and Legal Change

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23. The ability to choose policy paths that are sustainable requires that the ecological dimensions of policy be considered at the same time as the economic, trade, energy, agricultural, industrial, and other dimensions - on the same agendas and in the same national and international institutions. That is the chief institutional challenge of the 1990s.

24. There are significant proposals for institutional and legal change in previous chapters of our report. The Commission's proposals for institutional and legal change at the national, regional, and international levels are embodied in six priority areas:

- getting at the sources,
- dealing with the effects,
- assessing global risks,
- making informed choices,
- providing the legal means, and
- investing in our future.

Together, these priorities represent the main directions for institutional and legal change needed to make the transition to sustainable development. Concerted action is needed under all six.

1. Getting at the Sources

1.1 National Policies and Institutions

25. The way countries achieve sustainable development will vary among the many different political and economic systems around the world. Governments differ greatly in their capacity to monitor and evaluate sustainable development, and many will need assistance. Several features should be common to most countries.

26. Sustainable development objectives should be incorporated in the terms of reference of those cabinet and legislative committees dealing with national economic policy and planning as well as those dealing with key sectoral and international policies. As an extension of this, the major central economic and sectoral agencies of governments should now be made directly responsible and fully accountable for ensuring that their policies, programmes, and budgets support development that is ecologically as well as economically sustainable.

27. Where resources and data permit, an annual report and an audit on changes in environmental quality and in the stock of the nation's environmental resource assets are needed to complement the traditional annual fiscal budget and economic development plans./8 These are essential to obtain an accurate picture of the true health and wealth of the national economy, and to assess progress towards sustainable development./9

> All governments should develop a 'foreign policy for the environment' as one major way of improving the international coordination of national environmental policies.
>
> But in the long-term perspective, and here I think the World Commission could have an important message, I think that it will be politically sound and wise to get support from the NGOs to prepare for changes that have to take place anyway sooner or later. So I think it would be politically wise to look into that in a much broader way than what has been done so far.
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> Mats Segnestam
> Swedish Society for the Conservation of Nature
> WCED Public Hearing
> Oslo, 24-25 June 1985

28. Governments who have not done so should consider developing a 'foreign policy for the environment'./10 A nation's foreign policy needs to reflect the fact that its policies have a growing impact on the environmental

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resource base of other nations and the commons, just as the policies of other nations have an impact on its own. This is true of certain energy, agricultural, and other sectoral policies discussed in this report, as well as certain foreign investment, trade, and development assistance policies and those concerning the import or export of hazardous chemicals, wastes, and technology.

1.2 Regional and Interregional Action

29. The existing regional and subregional organisations within and outside the UN system need to be strengthened and made responsible and accountable for ensuring that their programmes and budgets encourage and support sustainable development policies and practices. In some areas, however, especially among developing countries, new regional and subregional arrangements will be needed to deal with transboundary environmental resource issues.

30. Some countries already enjoy comparatively well developed bilateral and regional structures, although many of them lack the mandate and support required to carry out the greatly expanded role they must assume in the future. These include many specialized bilateral organizations such as the Canada/USA International Joint Commission; subregional agencies in Europe such as the different Commissions for the Rhine River, the Danube River, and the Baltic Sea; and organizations such as the CMEA, OECD, and EEC. These bodies provide member countries with a strong foundation on which to build. Although most of them have effective programmes for international cooperation on environmental protection and natural resources management, these programmes will need to be strengthened and adapted to new priorities. The regional organizations in particular need to do more to integrate environment fully in their macroeconomic, trade, energy, and other sectoral programmes.

31. Similar organizations among developing countries should be strengthened, particularly at bilateral and subregional levels. Organizations such as the Organization of African Unity, the Southern Africa Development Coordination Conference, the Gulf Cooperation Council, the Arab League, the Organisation of American States, the Association of South East Asian Nations, and the South Asian Association for Regional Cooperation could work together to develop contingency plans and the capacity to respond quickly to critical situations and issues. They need in such bodies to develop comparable economic and environmental statistics, base-line quantity and quality surveys of shared resources, and early-warning capabilities to reduce environment and development hazards. They could develop and apply in concert basic common principles and guidelines concerning environmental protection and resource use, particularly with respect to foreign trade and investment. In this respect, developing countries have much to gain through sharing their common experiences and taking common action.

32. A new focus on the sustainable use and management of transboundary ecological zones, systems, and resources is also needed. There are, for example, over 200 distinct biogeographic zones in the world. Moreover, most non-island countries in the world share at least one international river basin. The entire national territories of nearly one-quarter of those countries is part of an international river, basin. Yet over one-third of the 200 major international river basins in the world are not covered by any international agreement, and fewer than 30 have any cooperative institutional arrangements. These gaps are particularly acute in Africa, Asia, and Latin America, which together have 144 international river basins./11

33. Governments, directly and through UNEP and IUCN, should support the development of regional and subregional cooperative arrangements for the protection and sustained use of transboundary ecological systems with joint action programmes to combat common problems such as desertification and acidification.

1.3 Global Institutions and Programmes

34. At the global level, an extensive institutional capacity exists that could be redirected towards sustainable development. The United Nations, as the only intergovernmental organization with universal membership, should clearly be the locus for new institutional initiatives of a global character.

35. Although the funds flowing to developing countries through UN programmes represents a relatively small portion of total ODA flows, the UN can and should be a source of significant leadership in the transition to sustainable development and in support of developing countries in effecting this transition. Under existing

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conditions the UN system's influence is often fragmented and less effective than it might be because of the independent character of the specialized agencies and endemic weaknesses of coordination. However, recent moves towards organizational reform and greater economy and efficiency could improve the capacity of the UN to provide this leadership, and should include sustainable development as an important criterion.

> In retrospect, even if the institutional and policy goals of the decade had been achieved, one is left with the feeling that most developing countries would be only marginally better off than they are today. The reason for this is a striking and humbling one. Although governments, environmentalists, and the aid agencies kept their eye on the environmental ball during the 1970s and the early 1980s, recent events have starkly demonstrated that they were watching the wrong ball. While the world was worrying about the environmental impacts of investments, controlling pollution, and conserving resources, we collectively failed to notice the dramatic decline in what had complacently been called 'renewable resources'.
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> David Runnals
> International Institute for Environment and Development
> WCED Public Hearing
> Ottawa, 26-27 May 1986

36. All major international bodies and agencies of the UN system should be made responsible and accountable for ensuring that their programmes and budgets encourage and support development policies and practices that are sustainable. Governments, through parallel resolutions in the respective governing bodies, should now begin to reorient and refocus the mandates, programmes, and budgets of key agencies to support sustainable development. They should also insist on much greater coordination and cooperation among them.

37. Each agency will need to redeploy some staff and financial resources to establish a small but high-level centre of leadership and expertise. That centre should be linked to the programme planning and budget processes.

38. Each agency should be directly responsible (or ensuring that the environmental and resource aspects of programmes and projects are properly taken into account when they are being planned, and that the financial resources needed are provided directly from its own budget. In line with these new responsibilities, the following bodies should also assume full financial responsibility within their own budgets for certain programmes presently supported by the Environment Fund of UNEP: WHO on 'Environmental Health', FAO on 'Agricultural Chemicals and Residues', UNDRO on 'Natural Disasters', UNIDO on 'Industry and Transport', ILO on 'Working Environment', UNDA on 'Arms Race and the Environment', DIESA on 'Environmental Aspects of Development Planning and Cooperation', UNESCO on 'Education', and UNDP on 'Technical Cooperation'. UNEP (discussed extensively in the next section) should continue to cooperate closely with these agencies and help identify new programme needs and monitor performance.

39. As in each agency, there is also a need for a high-level centre of leadership for the UN system as a whole with the capacity to assess, advise, assist, and report on progress made and needed for sustainable development. That leadership should be provided by the Secretary-General of the United Nations Organization.

40. Governments at the UN General Assembly should therefore take the necessary measures to reinforce the system-wide responsibility and authority of the UN Secretary-General concerning interagency coordination and cooperation generally, and for achieving sustainable development specifically. This will require that the representatives of those same governments in the governing bodies of all major UN organizations and specialized agencies take complementary measures. This could be done as an integral part of the parallel resolutions just proposed on building sustainable development objectives and criteria into the mandates, programmes, and budget of each agency

41. To help launch and guide the interagency coordination and cooperation that will be needed, the UN Secretary-General should constitute under his chairmanship a special UN Board for Sustainable Development. The principal function of the Board would be to agree on combined tasks to be undertaken by the agencies to deal effectively with the many critical issues of sustainable development that cut across agency and national boundaries.

2. Dealing With the Effects

42. Governments should also strengthen the role and capacity of existing environmental protection and resource management agencies./12

2.1 National Environmental Protection and Natural Resources Management Agencies

43. Strengthening of environmental agencies is needed most urgently in developing countries. Those that have not established such agencies should do so as a matter of priority. In both cases, bilateral and multilateral organizations must be prepared to provide increased assistance for institutional development. Some of this increased financial support should go to community groups and NGOs, which are rapidly emerging as important and cost-effective partners in work to protect and improve the environment locally and nationally, and in developing and implementing national conservation strategies.

44. Industrialized countries also need greatly strengthened environmental protection and resource management agencies. Most face a continuing backlog of pollution problems and a growing range of environment and resource management problems too. In addition, these agencies will be called upon to advise and assist central economic and sectoral agencies he they take up their new responsibilities for sustainable development. Many now provide institutional support, technical advice, and assistance to their counterpart agencies in developing countries, and this need will grow. And, almost inevitably, they will play a larger and more direct role in international cooperation, working with other countries and international agencies trying to cope with regional and global environmental problems.

2.2 Strengthen the United Nations Environment Programme

45. When UNEP was established in 1972, the UN General Assembly gave it a broad and challenging mandate to stimulate, coordinate, and provide policy guidance for environmental action throughout the UN system./13 That mandate was to be carried out by a Governing Council of 58 member states, a high-level UN interagency Environment Coordination Board (ECB),/14 a relatively small secretariat located in Nairobi, and a voluntary fund set initially at a level of $100 million for the first five years. UNEP's principal task was to exercise leadership and a catalytic influence on the programmes and projects of other international organizations, primarily in but also outside the UN system. Over the past 10 years, the Environment Fund has levelled off at around $30 million annually, while its range of tasks and activities have increased substantially.

46. This Commission has recommended a major reorientation and refocusing of programmes and budgets on sustainable development in and among all UN organizations. Within such a new system-wide commitment to and priority effort on sustainable development, UNEP should be the principal source on environmental data, assessment, reporting, and related support for environmental management as well as be the principal advocate and agent for change and cooperation on critical environment and natural resource protection issues. The major priorities and functions of UNEP should be:

- to provide leadership, advice, and guidance in the UN system on restoring, protecting, and improving the ecological basis for sustainable development;
- to monitor, assess, and report regularly on changes in the state of the environment and natural resources (through its EarthWatch programme);
- to support priority scientific and technological research on critical environmental and natural resource protection issues;
- to develop criteria and indicators for environmental quality standards and guidelines for the sustainable use and management of natural resources;
- to support and facilitate the development of action plans for key ecosystems and issues to be implemented and financed by the governments directly concerned;
- to encourage and promote international agreements on critical issues identified by Earthwatch and to support and facilitate the development of international law, conventions, and cooperative arrangements for environmental and natural resource conservation and protection;

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- to support the development of the institutional and professional capacity of developing countries in all of these areas and help them develop specific programmes to deal with their problems and advise and assist development assistance agencies in this respect; and

- to provide advice and assistance to the United Nations Development Programme, the World Bank, and other UN organizations and agencies regarding the environmental dimensions of their programmes and technical assistance projects, including training activities.

> The environment has quickly deteriorated in certain areas and we don't know where to put the thresholds for nature's tolerance. We must move very fast towards a consensus on the necessity for taking urgent action. There is a strong popular support for this in our country. The findings of several opinion polls tell us that ecological issues have heightened priority. People feel anxious about the legacy our generation will be passing on to the next one. A new environmental awareness has germinated among large sections of the community and mainly among young people.
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> Dr. Litre V. Nagy
> Environment Protection Committee of the Patriotic People's Front, Hungary
> WCED Public Hearing
> Moscow, 6 Dec 1986

2.2.1 Focus on Environmental Protection Issues

47. UNEP has been a key agent in focusing the attention of governments on critical environmental problems (such as deforestation and marine pollution), in helping develop many global and regional action plans and strategies (as on desertification), in contributing to the negotiation and implementation of international conventions (on Protection of the Ozone Layer, for example), and in preparing global guidelines and principles for action by governments (such as on marine pollution from land-based sources). UNEP's Regional Seas Programme has been particularly successful, and could serve as a model for some other areas of special concern, especially international river basins.

48. UNEP's catalytic and coordinating role in the UN system can and should be reinforced and extended. In its future work in critical environmental protection issues, UNEP should focus particularly on:

- developing, testing, and helping to apply practical and simple methodologies for environmental assessment at project and national levels;

- extending international agreements (such as on chemicals and hazardous wastes) more widely;

- extending the Regional Seas Programme;

- developing a similar programme for international river basins; and

- identifying the need for and advising other UN organizations and agencies in establishing and carrying out technical assistance and training courses for environmental protection and management.

2.2.2 Priority to Global Environmental Assessment and Reporting

49. Although more is known about the state of the global environment now than a decade ago, there are still major gaps and a limited international capability for monitoring, collecting, and combining basic and comparable data needed for authoritative overviews of key environmental issues and trends. Without such, the information needed to help set priorities and develop effective policies will remain limited.

50. UNEP, as the main UN source for environmental data, assessment, and reporting, should guide the global agenda for scientific research and technological development "or environmental protection. To this end, the data collection, assessment, and state of the environment reporting sections (Earthwatch) of UNEP need to be significantly strengthened as a major priority. The Global Environment Monitoring System should be expanded as rapidly as possible, and the development of the Global Resource Information Database should be accelerated to bridge the gap between environmental assessment and management. Special priority should be

accorded to providing support to developing countries to enable them to participate fully in and derive maximum benefits from these programmes.

2.2.3 Strengthen International Environmental Cooperation

51. The UNEP Governing Council cannot fulfil its primary role of providing leadership and policy guidance in the UN system nor have a significant influence on national policies unless governments increase their participation and the level of representation. National delegations to future meetings should preferably be led by Ministers, with their senior policy and scientific advisers. Special provisions should be made for expanded and more meaningful participation by major non governmental organizations at future sessions.

2.2.4. Increase the Revenue and Focus of the Environment Fund

52. The UNEP voluntary funding base of $30 million annually is too limited and vulnerable for an international fund dedicated to serving and protecting the common interests, security, and future of humanity. Six countries alone provided over 75 per cent of the 1985 contributions to the Environment Fund (the United States, Japan, USSR, Sweden, FRG, and UK)./15 Considering the critical importance of renewed efforts on environmental protection and improvement, the Commission appeals to all governments to substantially enlarge the Environment Fund both through direct contributions by all members of the UN and through some of the sources cited later in this chapter in the section 'Investing in Our Future'.

53. A substantial enlargement of the Environment Fund seems unlikely in the current climate of financial austerity. Any additional funds made available by states for UN development programmes and activities will likely be channelled largely through UNDP and the development programmes of other UN agencies. Moreover, as recommended earlier, the budgets of all of those agencies should be deployed so that environmental considerations are built into the planning and implementation of all programmes and projects.

54. The Environment Fund can be made more effective by refocusing the programme on fewer activities. As other UN agencies assume full responsibility for certain activities now provided through the Environment Fund and finance them entirely from their own budgets, some resources will be released for other purposes. These should be concentrated on the principal functions and priority areas identified earlier.

55. Expanding support and cooperation with NGOs capable of carrying out elements of UNEP's programme will also increase the effectiveness of the Environment Fund. Over the last decade, non-governmental organizations and networks have become increasingly important in work to improve environmental protection locally, nationally, and internationally. However, financial support from the Environment Fund for cooperative projects with NGOs declined in both absolute and relative terms in the last 10 years, from $4.5 million (23 per cent of the Fund) in 1976 to $3.6 million (13 per cent) in 1985./16 The amount and proportion of Environment Fund resources for cooperation and projects with NGOs should be significantly increased by using the capacities of those NGOs that can contribute to UNEP's programmes on a cost-effective basis.

3. Assessing Global Risks

56. The future - even a sustainable future - will be marked by increasing risk./17 The risks associated with new technologies are growing./18 The numbers, scale, frequency, and impact of natural and human-caused disasters are mounting.19/ The risks of irreversible damage to natural systems regionally (for example through acidification, desertification, or deforestation) and globally (through ozone layer depletion or climate change) are becoming significant./20

57. Fortunately, the capacity to monitor and map Earth change and to assess risk is also growing rapidly. Data from remote sensing platforms in space can now be merged with data from conventional land-based sources. Augmented by digital communications and advanced information analysis, photos, mapping, and other techniques, these data can provide up-to-date information on a wide variety of resource, climatic, pollution, and other variables./21 High-speed data communications technologies, including the personal computer, enable this information to be shared by individuals as well as corporate and governmental users at costs that are steadily falling. Concerted efforts should be made to ensure that all nations gain access to them and the information they provide either directly or through the UNEP Earthwatch and other special programmes.

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58. Governments, individually and collectively, have the principal responsibility to collect their information systematically and use it to assess risks, but to date only a few have developed a capacity to do so. Some intergovernmental agencies have a capacity to collect and assess information required for risk assessment, such as FAO on soil and forest cover and on fisheries; WMO on climate; UNEP on deserts, pollutants, and regional seas; quasi-governmental organizations like IUCN have a similar capacity. These are only a few examples from a long list. But no intergovernmental agency has been recognized as the centre of leadership to stimulate work on risk assessment and to provide an authoritative source of reports and advice on evolving risks. This gap needs to be filled both within and among governments. Beyond our proposal that the global environment assessment and reporting functions of UNEP should be significantly strengthened, the Commission would now propose that UNEP's Earthwatch be recognized as the centre of leadership on risk assessment in the UN system.

59. But neither UNEP nor other intergovernmental organizations can be expected to carry out these important functions alone. To be effective, given the politically sensitive nature of many of the most critical risks, intergovernmental risk assessment needs to be supported by independent capacities outside of government. Several national science academies and international scientific groups such as ICSU and its Scientific Committee on Problems of the Environment, with special programmes such as the newly inaugurated International Geosphere-Biosphere Programme (see Chapter 10); the Man and the Biosphere Programme of UNESCO; quasi-governmental bodies such as IUCN; and certain industry groups and NGOs are active in this field. But, again, there is no recognized international non-governmental centre of leadership through which the efforts of these groups can be focused and coordinated.

60. During the 1970s, the growing capacity of computers led various governments, institutes, and international bodies to develop models for integrated policy analysis. They have provided significant insights and offer great promise as a means of anticipating the consequences of interdependent trends and of establishing the policy options to address them./22 Without suggesting any relationship between them, early attempts were all limited by serious inconsistencies in the methods and assumptions employed by the various sources on which they depended for data and information./23 Although significant improvements have been made in the capability of models and other techniques, the data base remains weak./24

61. There is an urgent need to strengthen and focus the capacities of these and other bodies to complement and support UNEP's monitoring and assessment functions by providing timely, objective, and authoritative assessments and public reports on critical threats and risks to the world community. To meet this need, we recommend the establishment of a Global Risks Assessment Programme:

- to identify critical threats to the survival, security, or well-being of all or a majority of people, globally or regionally;
- to assess the causes and likely human, economic, and ecological consequences of those threats, and to report regularly and publicly on their findings;
- to provide authoritative advice and proposals on what should or must be done to avoid, reduce, or, if possible, adapt to those threats; and
- to provide an additional source of advice and support to governments and intergovernmental organizations for the implementation of programmes and policies designed to address such threats.

62. The Global Risk Assessment Programme would not requite the creation of a new international institution as such, as it should function primarily as a mechanism for cooperation among largely non-governmental national and international organizations, scientific bodies, and industry groups. To provide intellectual leadership and guide the programme, there should be a steering group composed of eminent individuals who together would reflect a broad cross-section of the major areas of knowledge, vocations, and regions of the world, as well as the major bodies active in the field.

63. The steering group would serve as the focal point for identifying the risks to be addressed by the programme, agreeing on the research needed to assess those risks, and coordinating the work among the various participating bodies. It could form special consortia and task forces made up of experts from these bodies and it would also establish special expert and advisory groups consisting of world-known authorities in

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specialized areas of science, economics, and law. The steering group would be responsible for the overall evaluation of results, for their wide dissemination, and for follow-up activities.

64. The steering group would also be charged with helping mobilize funds for implementing the programme through contributions by the Environment Fund of UNEP, states, foundations, and other private sources. Funding would principally be for the purpose of financing the various activities that would be carried out by other organizations as part of the programme, with only a small portion required to meet the costs of the steering group.

4. Making Informed Choices

65. As is evident from this report, the transition to sustainable development will require a range of public policy choices that are inherently complex and politically difficult. Reversing unsustainable development policies at the national and international level will require immense efforts to inform the public and secure its support. The scientific community, private and community groups, and NGOs can play a central role in this.

If the NGO community is to translate its commitment to sustainable development into effective action, we will need to see a matching level of commitment from the governmental and intergovernmental communities, in genuine partnership with NGOs. The success and cost-effectiveness of NGO action is to an important degree a function of their spontaneity and freedom of action.

Both among NGOs and amongst governments, we must find ways to engender a new period of international cooperation. The urgency of our tasks no longer permits us to spill our energies in fruitless and destructive conflict. Whilst we fight our wars of ideology on the face of this planet, we are losing our productive relationship with the planet itself.

David Bull
Environmental Liaison Centre
WCED Public Hearing
Nairobi, 23 Sept 1986

4.1 Increase the Role of the Scientific Community and Non-Governmental Organizations

66. Scientific groups and NGOs have played - with the help of young people/25 - a major part in the environmental movement from its earliest beginnings. Scientists were the first to point out evidence of significant environmental risks and changes resulting from the growing intensity of human activities. Other non-governmental organizations and citizens' groups pioneered in the creation of public awareness and political pressures that stimulated governments to act. Scientific and non-governmental communities played a vital role in the United Nations Conference on the Human Environment in Stockholm./26

67. These groups have also played an indispensable role since the Stockholm Conference in identifying risks, in assessing environmental impacts and designing and implementing measures to deal with them, and in maintaining the high degree of public and political interest required as a basis for action. Today, major national 'State of the Environment' reports are being published by some NGOs (in Malaysia, India, and the United States, for instance)./27 Several international NGOs have produced significant reports on the status of and prospects for the global environment and natural resources./28

68. The vast majority of these bodies are national or local in nature, and a successful transition to sustainable development will require substantial strengthening of their capacities. To an increasing extent, national NGOs draw strength from association with their counterparts in other countries and from participation in international programmes and consultations. NGOs in developing countries are particularly in need of international support - professional and moral as well as financial - to carry out their roles effectively.

69. Many international bodies and coalitions of NGOs are now in place and active. They play an important part in ensuring that national NGOs and scientific bodies have access to the support they require. These include regional groups providing networks linking together environment and development NGOs in Asia, Africa, Eastern and Western Europe, and North and South America. They also include a number of regional and global coalitions on critical issues such as pesticides, chemicals, rain, seeds, genetic resources, and development

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assistance. A global network for information exchange and joint action is provided through the Environment Liaison Centre (ELC) in Nairobi. ELC has over 230 NGO member groups, with the majority from developing countries, and is in contact with 7,000 others.

70. Only a few international NGOs deal on a broad basis with both environment and development issues, but this is changing rapidly. One of them, the International Institute for Environment and Development, has long specialized in these issues and pioneered the conceptual basis for the environment/development relationship. Most of them work with and support related organizations in the developing world. They facilitate their participation in international activities and their links with counterparts in the international community. They provide instruments for leadership and cooperation among a wide variety of organizations in their respective constituencies. These capabilities will be ever more important in the future. An increasing number of environment and development issues could not be tackled without them.

71. NGOs should give a high priority to the continuation of their present networking on development cooperation projects and programmes, directed at the improvement of the performance of NGO bilateral and multilateral development programmes. They could increase their efforts to share resources, exchange skills, and strengthen each other's capacities through greater international cooperation in this area. In setting their own house in order, 'environment' NGOs should assist 'development' NGOs in reorienting projects that degrade the environment and in formulating projects that contribute to sustainable development. The experience gained would provide a useful basis for continuing discussions with bilateral and multilateral agencies as to steps that these agencies might take to improve their performance.

72. In many countries, governments need to recognize and extend NGOs' right to know and have access to information on the environment and natural resources; their right to be consulted and to participate in decision making on activities likely to have a significant effect on their environment; and their right to legal remedies and redress when their health or environment has been or may be seriously affected.

73. NGOs and private and community groups can often provide an efficient and effective alternative to public agencies in the delivery of programmes and projects. Moreover, they can sometimes reach target groups that public agencies cannot. Bilateral and multilateral development assistance agencies, especially UNDP and the World Bank, should draw upon NGOs in executing programmes and projects. At the national level, governments, foundations, and industry should also greatly extend their cooperation with NGOs in planning, monitoring, and evaluating as well as in carrying out projects when they can provide the necessary capabilities on a cost-effective basis. To this end, governments should establish or strengthen procedures for official consultation and more meaningful participation by NGOs in all relevant intergovernmental organizations.

74. International NGOs need substantially increased financial support to expand their special roles and functions on behalf of the world community and in support of national NGOs. In the Commission's view, the increased support that will allow these organizations to expand their services represents an indispensable and cost-effective investment. The Commission recommends that these organizations be accorded high priority by governments, foundations, and other private and public sources of funding.

4.2 Increase Cooperation with Industry

75. Industry is on the leading edge of the interface between people and the environment. It is perhaps the main instrument of change that affects the environmental resource bases of development, both positively and negatively. (See Chapter 8.) Both industry and government, therefore, stand to benefit from working together more closely.

76. World industry has taken some significant steps through voluntary guidelines concerning industry practices on environment, natural resources, science, and technology. Although few of these guidelines have been extended to or applied regionally in Africa, Asia, or Latin America, industry continues to address these issues through various international associations.

77. These efforts were advanced significantly by the 1984 World Industry Conference on Environmental Management (WICEM)./29 Recently, as a follow-up to WICEM, several major corporations from a number of developed countries formed the International Environment Bureau to assist developing countries with their

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environment/development needs. Such initiatives are promising and should be encouraged. Cooperation between governments and industry would be further facilitated if they established joint advisory councils for sustainable development - for mutual advice, assistance, and cooperation in helping to shape and implement policy, laws, and regulations for more sustainable forms of development. Internationally, governments in cooperation with industry, and NGOs should work through appropriate regional organizations to develop basic codes of conduct for sustainable development, drawing on and extending relevant existing voluntary codes, especially in Africa, Asia, and Latin America.

78. The private sector also has a major impact on development through commercial bank loans from within and outside countries. In 1983, for example, the proportion of the total net receipts of developing countries from private sources, mostly in the form of commercial bank loans, was greater than all ODA that year. Since 1963, as indebtedness worsened, commercial bank lending to developing countries has declined./30

79. Efforts are being made to stimulate private investment. These efforts should be geared to supporting sustainable development. The industrial and financial corporations making such investments, and the export credit, investment insurance, and other programmes that facilitate them, should incorporate sustainable development criteria into their policies.

5. Providing the Legal Means

80. National and international law has traditionally lagged behind events. Today, legal regimes are being rapidly outdistanced by the accelerating pace and expanding scale of impacts on the environmental base of development. Human laws must be reformulated to keep human activities in harmony with the unchanging and universal laws of nature. There is an urgent need;

- to recognize and respect the reciprocal rights and responsibilities of individuals and states regarding sustainable development,
- to establish and apply new norms for state and interstate behaviour to achieve sustainable development,
- to strengthen and extend the application of existing laws and international agreements in support of sustainable development, and
- to reinforce existing methods and develop new procedures for avoiding and resolving environmental disputes.

5.1 Recognizing Rights and Responsibilities

81. Principle 1 of the 1972 Stockholm Declaration said that 'Man has the fundamental right to freedom, equality and adequate conditions of life, in an environment of a quality that permits a life of dignity and well-being'./31 It further proclaimed the solemn responsibility of governments to protect and improve the environment for both present and future generations. After the Stockholm Conference, several states recognized in their Constitutions or laws the right to an adequate environment and the obligation of the state to protect that environment.

82. Recognition by states of their responsibility to ensure an adequate environment for present as well as future generations is an important step towards sustainable development. However, progress will also be facilitated by recognition of, for example, the right of individuals to know and have access to current information on the state of the environment and natural resources, the right to be consulted and to participate in decision making on activities likely to have a significant effect on the environment, and the right to legal remedies and redress for those whose health or environment has been or may be seriously affected.

What are we to do? It is axiomatic that we as individuals or groups of individuals share territory in resources. We need to define common norms of behaviour. This is true whether we are speaking of a family, small town, a province or country, or the world community. However, the definition of common norms of behaviour is not in itself sufficient for the creation of a body of rules and regulation.

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To operate effectively, certain basic conditions must be fulfilled: the existence of a general will among members of the community to accept and adhere to regulations; the existence of a political framework not only for defining and quantifying common behaviour or norms, but also for adopting existing rules to change within the community; a means of determining compliance with international rules and regulations; and, finally, the means for enforcement.

Fergus Watt
World Association of World Federalists
WCED Public Hearing
Ottawa, 26-27 May 1986

83. The enjoyment of any right requires respect for the similar rights of others, and recognition of reciprocal and even joint responsibilities. States have a responsibility towards their own citizens and other states:

- to maintain ecosystems and related ecological processes essential for the functioning of the biosphere;
- to maintain biological diversity by ensuring the survival and promoting the conservation in their natural habitats of all species of flora and fauna;
- to observe the principle of optimum sustainable yield in the exploitation of living natural resources and ecosystems;
- to prevent or abate significant environmental pollution or harm;
- to establish adequate environmental protection standards;
- to undertake or require prior assessments to ensure that major new policies, projects, and technologies contribute to sustainable development; and
- to make all relevant information public without delay in all cases of harmful or potentially harmful releases of pollutants, especially radioactive releases.

84. It is recommended that governments take appropriate steps to recognize these reciprocal rights and responsibilities./32 However, the wide variation in national legal systems and practices makes it impossible to propose an approach that would be valid everywhere. Some countries have amended their basic laws or constitution; others are considering the a 'option of a special national law or charter setting out the rights and responsibilities of citizens and the state regarding environmental protection and sustainable development Others may wish to consider the designation of a national council or public representative or 'ombudsman' to represent the interests and rights of present and future generations and act as an environmental watchdog, alerting governments and citizens to any emerging threats.

5.2 A Universal Declaration and a Convention on Environmental Protection and Sustainable Development

85. Building on the 1972 Stockholm Declaration, the 1982 Nairobi Declaration, and many existing international conventions and General Assembly resolutions, there is now a need to consolidate and extend relevant legal principles in a new charter to guide state behaviour in the transition to sustainable development. It would provide the basis for, and be subsequently expanded into, a Convention, setting out the sovereign rights and reciprocal responsibilities of all states on environmental protection and sustainable development. The charter should prescribe new norms for state and interstate behaviour needed to maintain livelihoods and life on our shared planet, including basic norms for prior notification, consultation, and assessment of activities likely to have an impact on neighbouring states or global commons. These could include the obligation to alert and inform neighbouring states in the event of an accident likely to have a harmful impact on their environment. Although a few such norms have evolved in some bilateral and regional arrangements, the lack of wider agreement on such basic rules for interstate behaviour undermines both the sovereignty and economic development potential of each and all states.

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86. We recommend that the General Assembly commit itself to preparing a universal Declaration and later a Convention on environmental protection and sustainable development. A special negotiating group could be established to draft a Declaration text for adoption in 1986. Once it is approved, that group could then proceed to prepare a Convention, based on and extending the principles in the Declaration, with the aim of having an agreed Convention text ready for signature by states within three to five years. To facilitate the early launching of that process the Commission has submitted for consideration by the General Assembly, and as a starting point for the deliberations of the special negotiating group, a number of proposed legal principles embodied in 22 Articles which were prepared by its group of international legal experts. These proposed principles are submitted to assist the General Assembly in its deliberations and have not been approved or considered in detail by the Commission. A summary of the principles and Articles appears as Annexe 1 of this report.

5.3 Strengthen and Extend Existing International Conventions and Agreements

87. In parallel, governments should accelerate their efforts to strengthen and extend existing and more specific international conventions and cooperative arrangements by:

- acceding to or ratifying existing global and regional conventions dealing with environment and development, and applying them with more vigour and rigour;
- reviewing and revising those relevant conventions that need to be brought in line with the latest available technical and scientific information; and
- negotiating new global and regional conventions or arrangements aimed at promoting cooperation and coordination in the field of environment and development (including, for example, new conventions and agreements on climate change, on hazardous chemicals and wastes, and on preserving biological diversity).

Law does not stand alone. It depends on the functioning of many things. Experience from the past 15 years of development has taught us that there is a danger that bureaucracy with all its strength coming from the West, in Indonesia's case because of the oil and gas revenues, will strangle the community with so many laws. They have, for instance, laws that ask every gathering of five or more people to have permission from the police. Sometimes I feel that maybe the best government is the one who governs the least. In this case, I feel that sometimes the Asian countries learn from each other.

Adi Sasono
Institute for Development Studies
WCED Public Hearing
Jakarta, 26 March 1985

88. It is recommended that the UNEP secretariat, in close cooperation with the IUCN Environmental Law Centre, should help in these efforts.

5.4 Avoiding and Settling Environmental Disputes

89. Many disputes can be avoided or more readily resolved if the principles, rights, and responsibilities cited earlier are built into national and international legal frameworks and are fully respected and implemented by many states. Individuals and states are more reluctant to act in a way that might lead to a dispute when, as in many national legal systems, there is an established and effective capacity as well as ultimately binding procedures for settling disputes. Such a capacity and procedures are largely lacking at the international level, particularly environmental and natural resource management issues./33

90. it is recommended that public and private organizations and NGOs help in this area by establishing special panels or rosters of experts with experience in various forms of dispute settlement and special competence on the legal and substantive aspects of environmental protection, natural resources management, and sustainable development. In addition, a consolidated inventory and referral system or network for responding to requests for advice and assistance should be established in avoiding or receiving such disputes.

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91. To promote the peaceful and early settlement of international disputes on environmental and resource management problems, it is recommended that the following procedure be adopted. States should be given up to 18 months to reach mutual agreement on a solution or on a common dispute settlement arrangement. If agreement is not reached, then the dispute can be submitted to conciliation at the request of any one of the concerned states and, if still unresolved, thereafter to arbitration or judicial settlement.

92. This proposed new procedure raises the possibility of invoking a binding process of dispute settlement at the request of any state. Binding settlement is not the preferred method for settling international disputes. But such a provision is now needed not only as a last resort to avoid prolonged disputes and possible serious environmental damage, but also to encourage and provide an incentive for all parties to reach agreement within a reasonable time on either a solution or a mutually agreed means, such as mediation.

93. The capabilities of the Permanent Court of Arbitration and the International Court of Justice to deal with environmental and resource management problems also should be strengthened. States should make greater use of the World Court's capacity under Article 26 of its Statute to form special chambers for dealing with particular cases or categories of cases, including environmental protection or resource management cases. The Court has declared its willingness and readiness to deal with such cases fully and promptly.

6. Investing in Our Future

94. We have endeavoured to show that: it makes long-term economic sense to pursue environmentally sound policies. But potentially very large financial outlays will be needed in the short term in such fields as renewable energy development, pollution control equipment, and integrated rural development. Developing countries will need massive assistance for this purpose, and more generally to reduce poverty. Responding to this financial need will be a collective investment in the future

6.1 National Action

95. Past experience teaches us that these outlays would be good investments. By the late 1960s, when some industrial countries began to mount significant environmental protection programmes, they had already incurred heavy economic costs in the form of damage to human health, property, natural resources, and the environment. After 1970, in order to roll back some of this damage, they saw expenditures on environmental pollution measurer, alone rise from about 0.3 per cent of GNP in 1970 to somewhere between 1.5 per cent and, in some countries, 2.0 per cent around the end of the decade. Assuming low levels of economic growth in the future, these same countries will probably have to increase expenditures on environmental protection somewhere between 20 to 100 per cent just to maintain current levels of environmental quality./34

> First, if the problems of environmental degradation and of poverty, particularly in the Third World, are to be solved, a continued economic development is essential. Second, we must reconcile environmental protection with economic growth. There is a growing consensus that this is perfectly possible and desirable. Third, there is also a great consensus that the application of strict environmental standards is good for economic growth, as well as for the environment, and that they encourage innovation, promote inventiveness and efficiency, and generate employment. Fourth, to achieve the goals of sustainable development, good environment, and decent standards of life for all involves very large changes in attitude.
>
> Stanley Clinton-Davis
> Commissioner for Environment European Economic Community
> WCED Public Hearing
> Oslo, 24-25 June 1985

96. These figures relate only to expenditures to control environmental pollution. Unfortunately, similar figures are not available on the level of expenditures made to rehabilitate lands and natural habitats, re-establish soil fertility, reforest areas, and undertake other measures to restore the resource base. But they would be substantial.

97. Nations, industrial and developing, that did not make these investments have paid much more in terms of damage costs to human health, property, natural resources, and the environment. And these costs continue to rise at an accelerating pace. Indeed, countries that have not yet instituted strong programmes now face the

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need for very large investments. Not only do they need to roll back the first generation of environmental damage, they also need to begin to catch up with the rising incidence of future damage. If they do not, their fundamental capital assets, their environmental resources, will continue to decline.

98. In strictly economic terms, the benefits of these expenditures have been generally greater than the costs in those countries that have made them./35 Beyond that, however, many of these countries found that economic, regulatory, and other environmental measures could be applied in ways that would result in innovation by industry. And those companies that did respond innovatively are today often in the forefront of their industry. They have developed new products, new processes, and entire plants that use less water, energy, and other resources per unit of output and are hence more economic and competitive.

99. Nations that begin to reorient major economic and sectoral policies along the lines proposed in this report can avoid much higher future levels of spending on environmental restoration and curative measures and also enhance their future economic prospects. By making central and sectoral agencies directly responsible for maintaining and enhancing environmental and resource stocks, expenditures for environmental protection and resource management would gradually be built into the budgets of those agencies for measures to prevent damage. The unavoidable costs of environmental and resource management would thus be paid only once.

> We must have a true participation of all of the society in the decision-making and More particularly in the allocation of resources. And why so? because all of us are perfectly aware that there will never be sufficient resources for everything that we wish, but if the population participates in the decision making it will benefit those who need the most and it will express their thought about the allocation of resources and it will give us the certainty that that which is bring done is the legitimate aspiration of the people.
>
> Aristides Marquee
> National Council for Urban Development
> WCED Public Hearing
> Brasilia, 30 Oct 1985

6.2 International Action

100. Developing countries, as noted earlier, need a significant increase in financial support from international sources for environmental restoration, protection, and improvement and to help them through the necessary transition to sustainable development.

101. At the global level, there is an extensive institutional capacity to channel this support. This consists of the United Nations and its specialized agencies: the multilateral development banks, notably the World Bank; other multilateral development cooperation organizations, such as those of the European Economic Community; national development assistance agencies, most of whom cooperate within the framework of the Development Assistance Committee of OECD or of OPEC; and other international groups, such as the Consultative Group on International Agricultural Research, that play an important role and influence on the quality and nature of development assistance. Together, the development organizations and agencies are responsible for the transfer of about $35 billion of ODA annually to developing countries. In addition, they are the source of most technical assistance and policy advice and support to developing countries.

102. These organizations and agencies are the principal instruments through which the development partnership between industrial and developing countries operates and, collectively, their influence is substantial and pervasive. It is imperative that they play a leading role in helping developing countries make the transition to sustainable development. Indeed, it is difficult to envisage developing countries making this transition in an effective and timely manner without their full commitment and support.

6.2.1 Reorienting Multilateral Financial Institutions

103. The World Bank, IMF, and Regional Development Banks warrant special attention because of their major influence on economic development throughout the world. As indicated in Chapter 3, there is an urgent need for much larger flows of concessional and non-concessional finance through the multilateral agencies. The role of the World Bank is especially important in this respect, both as the largest single source of development lending and for its policy leadership, which exerts a significant influence on both developing countries and

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donors. The World Bank has taken a significant lead in reorienting its lending programmes to a much higher sensitivity to environmental concerns and to support for sustainable development. This is a promising beginning. But it will not be enough unless and until it is accompanied by a fundamental commitment to sustainable development by the World Bank and the transformation of its internal structure and processes so as to ensure its capacity to carry this out. The same is true of other multilateral development banks and agencies.

104. The IMF also exerts a major influence on the development policies of developing countries and, as described in Chapter 3, there is deep concern in many countries that the conditions that accompany its lending are undermining sustainable development. It is therefore essential that the IMF, too, incorporate sustainable development objectives and criteria into its policies and programmes.

105. Several countries have already formally instructed their representatives on the Board of the World Bank to ensure that the environmental impacts of projects proposed for approval have been assessed and adequately taken into account. We recommend that other governments take similar action, not only with regard to the World Bank but also in the Regional Banks and the other institutions. In this way they can support the ongoing efforts within the Banks and other institutions to reorient and refocus their mandates, programmes, and budgets to support sustainable development. The transition to sustainable development by the development assistance agencies and the IMF would be facilitated by the establishment of a high-level office in each agency with the authority and resources to ensure that all policies, projects, and loan conditions support sustainable development, and to prepare and publish annual assessments and reports on progress made and needed. A first step is to develop simple methodologies for such assessments, recognizing that they are at present experimental and need further work.

106. In making these changes, the multilateral financial institutions fortunately have some base on which to build. In 1980, they endorsed a Declaration of Environmental Policies and Procedures Relating to Economic Development. Since then they have been meeting and consulting through the Committee of International Development Institutions on the Environment (CIDIE)./36 Some have articulated clear policies and project guidelines for incorporating environmental concerns and assessments into their planning and decision making, but only a few have assigned staff and resources to implementing them, notably the World Bank, which is now considering even further institutional changes to strengthen this work. Overall, as pointed out by the UNEP Executive Director in his statement reviewing the first five years of work. CIDIE has not yet truly succeeded in getting environmental considerations firmly ingrained in development policies. "There has been a distinct lack of action by several multilaterals." CIDIE members have "gone along with the Declaration in principle more than in major shifts in action."/37

107. In order to marshal and support investing its in conservation projects and national conservation strategies that enhance the resource base for development, serious consideration should be given to the development of a special international banking programme or facility/38 linked to the World Bank. Such a special conservation banking programme or facility could provide leans and facilitate joint financing arrangements for the development and protection of critical habitats and ecosystems, including those of international significance, supplementing efforts by bilateral aid agencies, multilateral financial institutions, and commercial banks.

106. In the framework of the Council of Mutual Economic Assistance (CMEA), there has been since the early 1970s a Committee for Environmental Protection with the participation of the heads of appropriate organizations in the member states. This Committee coordinates the relevant research and development programmes and, in some cases, organizes technical assistance for the interested member states, involving the Investment Bank of CMEA.

6.2.2 Reorienting Bilateral Aid Agencies

109. Bilateral aid agencies presently provide nearly four times as much total ODA as is provided by international organizations. As indicated in Chapter 3, a new priority and focus in bilateral aid agencies is needed in three main areas:

- new measures to ensure that all projects support sustainable development;

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- special programmes to help restore, protect, and improve the ecological basis for development in many developing countries; and

- special programmes for strengthening the institutional and professional capacities needed for sustainable development.

110. Proposals for special bilateral aid programmes in the areas of agriculture, forestry, energy, industry, human settlements, and genetic resources are made in earlier chapters of this report. The first two priority areas in this chapter also contain proposals for strengthening the institutional and professional capacities in developing countries. The focus here is therefore on the first area: new measures to ensure that all bilateral aid projects support sustainable development.

> The problems of today do not come with a tag marked energy or economy or CO2 or demography, nor with a label indicating a country or a region. The problems are multi-disciplinary and transnational or global.
>
> The problems are not primarily scientific and technological. In science we have the knowledge and in technology the tools. The problems are basically political, economic, and cultural.
>
> Per Lindblom
> International Federation of Institutes of Advanced Studies
> WCED Public Hearing
> Oslo, 24-25 June 1985

111. Over the past decade, bilateral aid agencies have gradually given more attention to the environmental dimensions of their programmes and projects. A 1980 survey of the environmental and practices of six major bilateral aid agencies indicated that only one, USAID, had systematic and enforceable procedures backed by the staff resources necessary to carry them out./39 Since then, others have made some progress on the policy level, increased funds for environmental projects, and produced guidelines or checklists to guide their programmes. However, a 1983 study of those guidelines concluded that there was little evidence of their systematic application./40

112. An important step towards concerted action was taken in 1986 with the adoption by OECD of a recommendation to member governments to include an environmental assessment policy and effective procedures for applying it in their bilateral aid programmes./41 It is based on a detailed analysis and studies carried out by a joint group of governmental experts from both the Development Assistance Committee and the Environmental Committee./42 The recommendation includes proposals for adequate staff and financial resources to undertake environmental assessments and a central office in each agency to supervise implementation and to assist developing countries wishing to improve their capacities for conducting environmental assessments. We urge all bilateral aid agencies to implement this recommendation as quickly as possible, it is essential, of course, that this should not reduce aid flows in the aggregate or slow disbursements or represent a new form of aid conditionality.

6.2.3 New Sources of Revenue and Automatic Financing

113. We have made a series of proposals for institutional change within and among the organizations and specialized agencies of the UN system in the sections on 'Getting at the Sources' and 'Dealing with the Effects'. Most of those changes will not require additional financial resources but can be achieved through a reorientation of existing mandates, programmes, and budgets and a redeployment of present staff. Once implemented, those measures will make a major difference in the effective use of existing resources in making the transition to sustainable development.

114. Nevertheless, there is also a need to increase the financial resources for new multilateral efforts and programmes of action for environmental protection and sustainable development. These new funds will not be easy to come by if the international organizations through which they flow have to continue to rely solely on traditional sources of financing: assessed contributions from governments, voluntary contributions by governments, and funds borrowed in capital markets by the World Bank and other international financial institutions.

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115. Assessed contributions from governments have traditionally been used largely for the administrative and operating costs of international organizations; they are not intended for multilateral assistance. The total assessed contributions from governments are much smaller than the amount provided through voluntary contributions and the prospects of raising significant, additional funds through assessed contributions are limited.

116. Voluntary contributions by governments give the overall revenue system some flexibility, but they cannot be adjusted readily to meet new or increased requirements. Being voluntary, the flow of these funds is entirely discretionary and unpredictable. The commitments are also extremely short-term, as pledges are normally made only one or two years in advance. Consequently, they provide little security or basis for effective planning and management of international actions requiring sustained, longer-term efforts. Most of the limited funds provided so far for international environmental action have come through voluntary contributions, channelled principally through UNEP and NGOs.

117. Given the current constraints on major sources and modes of funding, it is necessary to consider new approaches as well as new sources of revenue for financing international action in support of sustainable development. The Commission recognizes that such proposals may not appear politically realistic at this point in time. It believes, however, that - given the trends discussed in this report - the need to support sustainable development will become so imperative that political realism will come to require it.

118. The search for other, and especially more automatic, sources and means for financing international action goes almost as far back as the UN itself. It was not until 1977, however, when the Plan of Action to Combat Desertification was approved by the UN General Assembly that governments officially accepted, but never implemented, the principle of automatic transfers. That Plan called for the establishment of a special account that could draw resources not only from traditional sources but also from additional measures of financing, 'including fiscal measures entailing automaticity'./43

119. Since then, a series of studies and reports/44 have identified and examined a growing list of new sources of potential revenue, including:

- revenue from the use of international commons (from ocean fishing and transportation, from sea-bed mining, from Antarctic resources, or from parking charges for geostationary communications satellites, for example;

- taxes on international trade (such as a general trade tax; taxes on specific traded commodities, on invisible exports, or on surpluses in balance of trade; or a consumption tax on luxury goods); and

- international financial measures (a link between special drawing rights and development finance, for example, or IMF gold reserves and sales).

120. In its 1980 report, the Brandt Commission called for raising additional funds from more automatic sources such as those cited above. In its follow-up report in 1983, the Brandt Commission strongly urged that these most 'futuristic' of all the Report's proposals not be lost completely from view./45 Nevertheless, they again rank below the short term horizon of the international agenda.

121. The World Commission on Environment and Development was specifically given the mandate by the UN General Assembly to look once again beyond that limited horizon. We have done so and, given the compelling nature, pace, and scope of the different transitions affecting our economic and ecological systems as described in this report, we consider that at least some of those proposals for additional and more automatic sources of revenue are fast becoming less futuristic and more necessary. This Commission particularly considers that the proposals regarding revenue from the use of international commons and natural resources now warrant and should receive serious consideration by governments and the General Assembly.

III. A Call for Action

122. Over the course of this century, the relationship between the human world and the planet that sustains it has undergone a profound change. When the century began, neither human numbers nor technology had the power to radically alter planetary systems. As the century closes, not only do vastly increased human numbers

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and their activities have that power, but major, unintended changes are occurring in the atmosphere, in soils, in waters, among plants and animals, and in the relationships among all of these. The rate of change is outstripping the ability of scientific disciplines and our current capabilities to assess and advise. It is frustrating the attempts of political and economic institutions, which evolved in a different, more fragmented world, to adapt and cope. It deeply worries many people who are seeking ways to place those concerns on the political agendas.

123. We have been careful to base our recommendations on the realities of present institutions, on what can and must be accomplished today. But to keep options open for future generations, the present generation must begin now, and begin together, nationally and internationally.

124. To achieve the needed change in attitudes and reorientation of policies and institutions, the Commission believes that an active follow-up of this report is imperative. It is with this in mind that we call for the UN General Assembly, upon due consideration, to transform this report into a UN Programme of Action on Sustainable Development. Special follow-up conferences could be initiated at the regional level. Within an appropriate period after the presentation of the report to the General Assembly, an international Conference could be convened to review progress made and promote follow-up arrangements that will be needed over time to set benchmarks and to maintain human progress within the guidelines of human needs and natural laws.

125. The Commissioners came from 21 very different nations. In our discussions, we disagreed often on details and priorities. But despite our widely differing backgrounds and varying national and international responsibilities, we were able to agree to the lines along which institutional change must be drawn.

126. We are unanimous in our conviction that the security, well-being, and very survival of the planet depend on such changes, now.

Footnotes

1/ The characteristics and differences of the two approaches are described in our inaugural report, 'Mandate for Change: Key Issues, Strategy and Workplan', Geneva, 1985.

2/ L.G. Uy, 'Combating the Notion of Environment as Additionality: A study of the Integration of Environment and Development and a Case for Environmental Development as Investment', Centre for Environmental Studies, University of Tasmania, Hobart, Tasmania, 1985 (to be published).

3/ OECD, Environment and Economics, Vols. I and II. Background Papers for the International Conference on Environment and Economics (Paris: 1984).

4/ OECD, 'The Impact of Environmental Policies on Industrial Innovation', in Environment and Economics, Vol. III. op. cit.

5/ R. Bertrand, 'Some Reflections on Reform of the United Nations'. Joint Inspection Unit, UN, Geneva, 1985.

6/ V. Fernando, 'Development Assistance, Environment and Development', paper prepared for WCED, Geneva, 1985.

7/ 'List of Projects with Possible Environmental Issues' transmitted to Congress by U.S. Agency for International Development, 1967, as included in Public Law 9? -591.

8/ L. Gagnon, Union Québecoise pour la Conservation de la Nature, Québec, 'Pour Une Révision des Sciences Economiques', submitted to WCED Public Hearings, Ottawa, 1986. See also the review of the state-of-the art concerning natural resource accounts, including detailed case studies from Norway and France, in OECD, Information and Natural Resources (Paris: 1986).

9/ T. Friend, 'Natural Resource Accounting ant? its Relationship with Economic and Environmental Accounting', Statistics Canada, Ottawa, September 1966.

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